

HEALTH CHECK

Amount committed for the PLI scheme under various segments

Expected investment	Reported Investment	Sector	Project status
17,425	16,199	Pharmaceuticals	55 applicants in the first year of implementation
4,138	2,019	Bulk drugs	51 applications approved
1,059	714	Medical devices	14 projects commissioned for 34 products

FIGURES IN ₹ CRORE:

SOURCE: MINISTRY OF CHEMICALS AND FERTILISERS

Medical Device Industry.

Against a committed investment of ₹1,059 crore over a period of five years, an investment of ₹714 crore has been reported. Experts consider the 5 per cent incentive on incremental sales as very low. For instance, if a company sells products equal to its investment value or three times the investment, then ₹1,000-crore investment will lead to sales of ₹1,000-3,000 crore. A 5 per cent incentive on this will be ₹50-150 crore per year. "That's very low utilisation. So, unless the government corrects the tariff structure as it did for consumer electronics and mobile phones, people will not step forward to invest," says Nath.

THE WAY FORWARD

Potential investors also need the assurance of a market to be able to produce and sell the goods, and earn expected profits. If the prospects of successfully competing against Chinese products are poor, then even the attraction of the facilities at the bulk drugs plants may not be enough to induce investments in the first place, says a report by New Delhi-based think tank Research and Information System for Developing Countries (RIS).

"The PLI scheme [for pharma] aims to reduce India's import dependence on other countries, through indigenous production, by attracting large investments"



MANSUKH MANDAVIYA

UNION MINISTER OF HEALTH AND FAMILY WELFARE;
MINISTER OF CHEMICALS AND FERTILISERS

"India is a powerhouse in the pharma industry today... There are many areas where we built a lot of capabilities. The one missing piece is pure innovation on the biologics side"



GLENN SALDANHA

CHAIRMAN & MD, GLENMARK PHARMACEUTICALS

Again, the fact that incentives are paid as a percentage of sales is also acting as a deterrent, the report adds.

If the schemes announced by the government enable Indian firms to produce and sell more, then imports from China will indeed go down, says Sudip Chaudhuri, author of the report and former professor of economics at the Indian Institute of Management Kolkata. But depending on the prices charged by Chinese companies, Indian firms may not be able to compete as of now.

"The government needs to sort these [issues] out if we need to make India self-reliant in pharma in the real sense," says Viranchi Shah, National President of Indian Drug Manufacturers Association, who is also the Director of Saga Laboratories, a pharma company. "However, making India self-reliant in pharma is not a sprint, it is a marathon. We cannot be looking at short-term self-reliance on supply chains."

That marathon has begun in right earnest. While the start may not have been as brisk as anticipated, the possibility of things accelerating, with the right levers being moved, is not to be dismissed. **BT**

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